



October 31, 2019

Ms. Rachel E. Dickon, Secretary
Federal Maritime Commission
800 North Capitol Street N.W.
Washington, DC 20573-0001

Via email: Secretary@fmc.gov

RE: Docket No. 19-05
Interpretive Rule on Demurrage and Detention Under the Shipping Act

Dear Secretary Dickon:

I'm writing to you on behalf of the members of the Green Coffee Association (GCA) in response to the Federal Maritime Commission (FMC) Notice of proposed rulemaking on Demurrage and Detention under the Shipping Act issued on September 13, 2019.

The GCA was founded in 1923 as a trade association providing resources and benefits for companies importing, trading and roasting of green coffee beans as well as those companies involved with transporting, storing, handling, insuring or financing of the coffee shipments. GCA's member companies range from some of the largest roaster/manufacturers and commodity trade houses to smaller importers and service providers all of whom depend on a competitive and efficient international ocean transportation services overseen by the U.S. Federal Maritime Commission.

The GCA fully supports the issuance of an Interpretive Rule to provide clarification on what may or may not be considered fair and reasonable practices in the assessment of demurrage and detention charges by the ocean carriers and the marine terminal operators (MTO) serving the industry including the members of our association. The GCA has had an active interest in the Fact-Finding Investigation #28 and look forward to the establishment of an Interpretive Rule which we believe will greatly benefit our members.

A. Purpose and Scope of Proposed Rule

We support the general purpose and scope of the proposed rule that would apply to demurrage and detention charges assessed against containerized cargo including refrigerated ("reefer") containers and specifically to shipping containers and no other equipment such as chassis.

B. Incentive Principle

- 1) General Incentive Approach: We support the premise that "the intended purposes of demurrage and detention charges are to incentivize cargo movement and the productive use of assets (containers and port terminal land)" and promote optimal cargo velocity through marine terminals. We also believe that the assessment of demurrage and detention charges when they do not or cannot incentivize container movement should be considered as unreasonable.
- 2) Cargo Availability: We contend that the free time clock should commence when the container is fully "accessible" for retrieval by the cargo interest or its trucker. The container would only be "accessible" when it is discharged from the vessel, available in an open area of the terminal, free from government holds, and appointments are available if and where applicable. Free time calculations should be suspended during any period when containers become "non-accessible" due to situations beyond the control of the cargo interest or its

trucker. We also contend that the demurrage clock should be suspended during “non-accessible” periods when the container may already be incurring demurrage charges thus eliminating the practice of “once in demurrage, always in demurrage”.

- 3) Empty Container Returns: We agree that absent extenuating circumstances, detention charges imposed when a container cannot be returned due to a terminal operator’s inability to accept it should be considered “unreasonable”. We also contend that the detention clock should be suspended during “non-accessible” periods when the container may already be incurring detention charges thus eliminating the practice of “once in detention, always in detention”.
- 4) Notice of Cargo Availability: We support the further development and implementation of “push notifications” to alert the cargo interest and truckers to accessibility of containers and notices of yard closures.
- 5) Government Inspections: We support the interpretation that “In the absence of extenuating circumstances, demurrage and detention practices and regulations that do not provide for mitigation of demurrage or detention while cargo is undergoing government inspection, such as by waiver or extension of free time, are likely to be found unreasonable”.

C. Demurrage and Detention Policies

- 1) Existence and Accessibility of Policies: We appreciate the FMC’s encouragement of clear and defined policies that reflect the carrier’s practices in assessing demurrage and detention charges as well as in resolving any disputes in relation thereto. Such policies should be easily and readily available to the cargo interests.
- 2) Billing: We contend that primary commercial relationship is between the carrier and the beneficial cargo owner. All invoices for demurrage charges and detention charges should be issued by the carrier to the cargo owner and settled between the carrier and the cargo owner. We do not support the practice of terminal operators or other third parties to bill the cargo owner or trucker for demurrage and detention charges since there is usually no direct commercial relationship within which to negotiate such charges in the event of a dispute or consideration of circumstances.
- 3) Guidance on Evidence: We appreciate the FMC’s encouragement for development of guidance on evidence to resolving demurrage and detention disputes. We also support requiring MTOs to provide detailed trouble tickets when containers are not able to be retrieved and access to log records that track attempts to make appointments.

D. Transparent Terminology

We agree that the industry would benefit from standardization of language used by carriers and terminal operators regarding demurrage and detention charges. In particular, the GCA believes that the term “demurrage” is widely defined as the charge assessed against containers while held on the terminal property covering both the use of the container and the space it occupies. Once the container leaves the terminal (out-gates), the equipment free time clock should begin and any charges due to the delay in returning the empty container beyond equipment free time expiry should be referred to as “detention” charges. We also believe that containers out gated for government exams should not be assessed demurrage nor detention as they are not available to the cargo owner.

We also would like to encourage the Commission to create a Shipper Advisory Board to provide valuable input from the participants in the various sectors of the industry.

The Green Coffee Association appreciates the great efforts made by Commissioner Dye and the Commission in its detailed review of the conditions and practices involving demurrage, detention and free time, as well as the opportunity to submit our comments for consideration.

Sincerely,

A handwritten signature in dark ink, appearing to read "Rob Menos", with a stylized flourish at the end.

Rob Menos
Chairman
Green Coffee Association, Inc.